

Suzuki

Strong buy recommendation

STRONG BUY

Suzuki offers a high-growth, high-conviction entry into the emerging market transition through its dominance in the Indian passenger vehicle market, efficient capital structure, and massive capex on production capacity for hybrid and EV models

Investment View. Suzuki is aggressively capitalizing on its dominant market share in India for its digitally-integrated, compact ICE and HEV SUV models, taking advantage of the country's rising passenger vehicle demand by scaling up production to transition into a global export hub. By leveraging its high-liquidity, low debt, low cost of capital, and technology and distribution partnerships, Suzuki maintains a strong balance sheet capable of funding a ¥2.5 tn production expansion and ¥2 tn on "next-generation" mobility by FYE2030. Suzuki presents a significant valuation disconnect; while the fundamental growth derived from its recent CAPEX cycle is already manifesting through margin expansion and top-line acceleration, this trajectory remains under-appreciated by the market. Consequently, we recommend a Strong Buy rating with a target price of ¥4,052

Company Snapshot

Ticker	7269 JP
HQ	Hamamatsu, Japan
View	Strong Buy
Core	Compact Automobiles
Strategy	Multi-pathway & Production Scaling
Key markets	India, Japan, Europe

1 Business description & Financial Analysis

1.1 Business Model & Key Revenue Drivers

Suzuki Motor Corporation was founded in 1909 and is headquartered in Hamamatsu-shi, Japan. It counts 120 consolidated subsidiaries, of which 66 in Japan and 54 Overseas. Suzuki engages in the manufacture and sale of automobiles, motorcycles, outboard motors, electric wheelchairs, and other products in Japan and internationally. It offers mini passenger cars and commercial vehicles, compact passenger cars and automobile engines, foundry and machining of engine components, motorcycles and motorcycle engines, outboard motors, motorized wheelchairs, and electro senior vehicles. Suzuki centres its business on small, compact and sub-compact vehicles, focusing on efficiency and ease to maneuver; most models include hatchbacks, city cars and compact SUVs.

1.2 Geographic Exposure

Suzuki's core market is India, on which it operates through its subsidiaries Maruti Suzuki India Limited and Suzuki Motorcycle India Private Limited. Maruti Suzuki dominates the Indian automobile industry, with a market share of 42% in 2023 and a YoY growth larger than the market average. As of FY2025Q3 (End of December 2025), India accounted for 39% of their consolidated net sales, 55% of their global automobile sales and 65% of their global automobile production. Japan, its domestic market, comes second accounting for 26% of consolidated net sales, and for 22% and 28% respectively of automobile sales and production. Smaller markets served include the rest of Asia, Europe, and Latin America. Suzuki has left its automobile business in the United States and Canada in 2012 and its China JV in 2018 due to declining sales and growing competition; Suzuki's focus on compact cars render it uncompetitive in markets with preference on larger vehicles. Amid emerging US Tariffs, Suzuki proves well insulated from the direct impact of import duties. As a high-growth emerging market, high exposure to India provides high revenue growth potential, yet its dependence on one core market for both production and sales make the stock susceptible to increasingly present competition and supply shocks.

1.3 Financial Analysis

Suzuki's primary exchange is the Tokyo Stock Exchange (TSE), where it is traded under the code 7269. Its market capitalisation has reached ¥3.5tn and is a component of the NIKKEI 225 index. Suzuki has experienced over the last five years a growth momentum that followed a decade of stagnation: its annual total revenue has increased 90% from ¥3.18tn in 2021Q1 to ¥6.2 tn in 2026Q1. Net income growth over the same time period was even stronger, growing 171% from ¥146bn to ¥396bn. Suzuki's latest mid-term plan forecasts operating income to grow to ¥800bn by the first half of the 2030s. The firm's capital structure reveals stable financial safety where the TEV only rises modestly above total market cap, signaling a low

debt-to-equity ratio of 0.226. The firm also presents net cash advantage over its debt liabilities, with cash and short-term investments covering total debt by 1.2 times. Low leverage with such high liquidity gives Suzuki high debt capacity, which is fundamental for the endeavor of new capex projects.

Table 1: Selected financial indicators

Metric	FYE2021	FYE2025	Change	Note
Revenue	¥3.18tn	¥5.83tn	+83%	Aggressive sales expansion
Operating Income (EBIT)	¥194.4bn	¥639.46bn	+229%	Significant operating leverage
Operating Margin	6.2%	11%	+77%	Premiumization and enhanced cost efficiency
Net Cash Position	¥1.22tn	¥0.9tn	-26%	Liquidity deployed to Capex
Capital Expenditure	¥171bn	¥345bn	+102%	Growth Strategy

2 Industry Analysis

2.1 Industry Conditions

The global automotive industry retains a positive outlook in 2026 and beyond, yet with a stagnating adoption in BEV (Battery Electric Vehicles) due to their persisting price premium of 15 - 20% to ICE (Internal Combustion Engine) vehicles. This trend is also reflected in the Indian market: the demand is value-driven yet strong with 84% of vehicle owners planning to buy a new car. Consumers prioritise connectivity with technologies that ensure safety and security, thus Software-Defined vehicles (SDVs) are getting strong preference. Globally, the industry has been hit by strong competitive pressure of Chinese manufacturers and OEMs. Suzuki has already accounted for the impact and left the Chinese market in 2018, giving the company more focus on its core Indian market. Suzuki has been aggressively preparing for Chinese competition in India, quickly pivoting towards EV and scaling up their manufacturing capacities.

2.2 Upscaling Production

Maruti Suzuki has aggressively expanded its manufacturing footprint to maintain its dominance in the Indian market. As part of a larger strategic roadmap to nearly double production capacity to 4 million vehicles per annum over the next 7-8 years, the company successfully commissioned a new assembly line at its Manesar facility in early 2024. This addition contributes an incremental 100,000 units annually, bringing the total capacity of the Manesar complex to 900,000 vehicles per year. In 2026, Suzuki announced another ¥600bn investment on a new plant in Gujarat, expanding production for another 1 million units a year. Maruti Suzuki expects its total production to increase to as much as 4 million units a year after FY2030. This expansion is a critical capital allocation move, ensuring that Suzuki can meet robust demand and maintain its competitive moat while transitioning toward higher-value SUV segments, which currently drive the majority of industry growth in India.

2.3 Derisked EV Transition

Suzuki is taking a de-risked approach towards electrification, with emphasis on the adoption of CNG and HEV vehicles to ensure that the transition can stay on par with income levels in emerging markets. In 2025, the launch of the 'e-VITARA,' Suzuki's first mass-produced battery electric vehicle (BEV), marked a decisive entry into the EV segment. While dominating in the ICE sector, India's market for EV is dominated by Tata motors, controlling 60% of the market due to first-mover advantage. Suzuki's EV share is still modest, but the firm is taking an aggressive 'fast-follower' strategy: Suzuki is leveraging its brand trust and massive service network to de-risk the transition to electric mobility investing in a ¥2 tn mixed strategy covering India, Japan, and Europe. Management's commitment to introduce four BEV models in India and Europe by FY2030 highlights a pragmatic, phased approach to electrification, balancing heavy front-loaded R&D expenditure with long-term market sustainability. The EV transition is further supported by Suzuki's OEM collaboration with Toyota and exclusive to BEV vehicles, promoting R&D and mutual supply of vehicles globally by profiting from each others' strengths.

3 Valuation Analysis

3.1 DCF & Multiple Valuation

In the five-year unlevered DCF model, beta was estimated at 0.58 using a regression of Suzuki's Common Stock returns against the MSCI Japan Index. Assuming a 10-year risk-free rate of 2.4%, a Japanese corporate tax of 26.62%, and the selected capital-structure assumptions, the WACC is 6.66%. Applying a

conservative terminal EBITDA multiple of 4.5x yields an estimated value of ¥6,096.82 per share, reflecting the high recent and expected growth in Suzuki's revenue and operating income. When combined with a multiple valuation model against key Japanese automobile firms including Toyota, Honda and Mazda, the intrinsic price of the stock moderates to ¥4,052.20, a 128.28% expected increase from the current price of ¥1776.

4 Investment Thesis

Suzuki Motor Corporation presents a compelling opportunity as a high-growth, cash-generative leader in the compact automotive segment, uniquely positioned to capture the expansion of the Indian passenger vehicle market. Our investment advice recommends a STRONG-BUY rating at the entry price of ¥1776 with a target price of ¥4,052 in a 12-month investment horizon. Key drivers for this position include Resilient dominance in the Indian market: through Maruti Suzuki, the firm can assure to maintain a large market share in high-growth India for the next decade. With a 40% market share and an unmatched service network, Suzuki is the primary beneficiary of India's rising middle class. The Indian Passenger Vehicle market is expected to grow further 4-6%, driven by compact SUVs (68% of volume). Suzuki's recent shift in product mix toward larger SUVs (Grand Vitara, Fronx) is driving ASP (Average Selling Price) higher, offsetting volume stagnation in the entry-level segment. Secondly, Suzuki is currently executing a massive capacity expansion to reach 4 million units annually after 2030. The commencement of the Kharkhoda plant and the expansion in Gujarat provide the necessary scale to lower unit costs through superior operating leverage. This also opens opportunities in turning India into Suzuki's global export hub, profiting from its low cost environment for competing with high margins in markets such as Europe and Japan. Finally, the valuation models reveal a clear valuation discount: from the multiple valuation Suzuki currently trades at a forward P/E of 8.67x, a significant discount to Toyota (~16.6x), Subaru (12.45x), and historical Indian market premiums. We believe the market is over-discounting the risks of Indian competition (Tata/Mahindra) and under-appreciating the earnings power of Suzuki's newly expanded production capacity

5 Risks

5.1 Limited regional diversification

This extreme geographic concentration exposes the firm to systemic risks within India, including regulatory shifts in taxation for ICE vehicles, infrastructure bottlenecks for EV adoption, and macroeconomic volatility in the Indian Rupee (INR). Any significant slowdown in Indian consumer demand would disproportionately impact Suzuki's consolidated financials, as the firm lacks a diversified profit engine of comparable scale in other regions. Suzuki's new mid-term plan doubles down on its India market, which increases its sensitivity to local policy changes. Any reduction in government support for clean-energy transitions in India could delay the adoption of the e-VITARA and impact Suzuki's ROIC during this heavy CAPEX cycle.

5.2 Return on Capital Investments

Suzuki's commitment to a ¥1.2tn multi-year CAPEX cycle aims to double production capacity to 4 million units annually by 2030. However, this aggressive expansion introduces a significant operating leverage risk. The primary execution risk is the emerging ROIC-WACC gap in the Indian growth engine. If Maruti Suzuki's market share continues to erode due to competition from Tata Motors and Mahindra, the new facilities in Kharkhoda and Gujarat may face underutilization. Such a scenario would lead to high fixed-cost absorption and a rapid depletion of the firm's currently strong net-cash position.

6 Sources & Disclosures

- Financial data: S&P Capital IQ platform
- Corporate disclosures: Suzuki Motor Corp. & Maruti Suzuki Official Filings (Annual Reports, FY2025/26 Results, and 2030 Growth Strategy)